Northwind Logistics, Inc.

earnings call | Q3 FY2025 · Jul-Sep 2025 (call held October 23, 2025)

BEARISH DISCLOSURE READ, NOT A VIEW ON THE SHARES

Management cut FY2025 revenue by $200M (3.4%) and adjusted EPS by $0.53 (7.2%) at the midpoint, withdrew the FY2026 mid-87s operating ratio target, deferred a terminal opening, cut capex 12%, and slowed buybacks. Tonnage fell 4.3% with September the worst month and October tracking no better; the CEO explicitly declined to call a bottom and conceded prior guidance was too optimistic. The CFO acknowledged a structural wage-versus-yield gap on top of cyclical deleverage. Last-mile profitability and held pricing are genuine positives but are small relative to the guidance reset.

ANALYST SUMMARY

A guidance-down quarter where the composition is worse than the headline: revenue +0.7% to $1.39B was entirely yield (+5.1% ex-fuel) against tonnage -4.3%, and operating ratio deteriorated 140 bps to 89.8% on fixed-cost deleverage, ~6% driver wage inflation and +12% insurance/claims. Adjusted EPS of $1.71 fell 4.5%. The forward numbers are the story: FY25 revenue to $5.55-5.65B from $5.75-5.85B (-$200M, -3.4% at midpoint), adjusted EPS to $6.60-6.85 from $7.10-7.40 (-$0.53, -7.2%), capex to $360M from $410M, and critically the FY2026 mid-87s OR target is no longer reaffirmed — the CFO tied that directly to a structural ~150 bp gap between 6% wage inflation and ~4.5% guided yield that only density can close, and density is what the volume decline removes. Q4 embeds tonnage -4% to -6% versus July's flat-to-(2)%, and October is tracking September's -5.6% pace, so there is no visible inflection. Offsets: last-mile at $204M (+19%) turned profitable for the first time at 0.4% margin on durable insourcing, pricing discipline held (~$40M of annualized revenue walked), Laredo is open on plan, balance sheet is clean at 1.4x with $88M FCF. Management credibility took a hit — the CEO explicitly owned that July guidance was too optimistic — and the January FY2026 guide is now the key event. Watch tonnage trend, whether threshold flexibility in low-density lanes broadens, and the FY26 OR reset.

REPORTED FINANCIALS

METRIC	THIS PERIOD	PRIOR YEAR	CHANGE
Revenue	$1.39B	$1.38B	+0.7%
Adjusted EPS	$1.71	$1.79	(4.5)%
GAAP EPS	$1.63	Not disclosed	n/a
Operating ratio	89.8%	88.4% (implied)	+140 bps (worse)
Tonnage per day	Down 4.3% y/y (Sept -5.6%)	Not disclosed	(4.3)%
Revenue per cwt ex-fuel	+5.1% y/y	Not disclosed	+5.1%

GUIDANCE BRIDGE

GUIDANCE	PRIOR	CURRENT	CHANGE AT MIDPOINT
FY2025 revenue	$5.75B-$5.85B	$5.55B-$5.65B	-$200M at midpoint, (3.4)%
FY2025 adjusted EPS	$7.10-$7.40	$6.60-$6.85	-$0.525 at midpoint, (7.2)%
FY2025 capital expenditures	$410M	$360M	-$50M, (12.2)%
FY2026 operating ratio target	Mid-87s	Withdrawn (not reaffirmed; FY2026 guide in January)	Target removed
Q4 FY2025 tonnage / yield assumption	No prior guide (July assumed tonnage flat to -2%)	Tonnage -4% to -6%; yield ~+4.5%	Tonnage assumption cut ~-4 pts at midpoint vs. July's flat-to-(2)%

COMPANY OVERVIEW

Northwind Logistics is an asset-based freight transportation and logistics operator running a terminal network (LTL-style tonnage and yield model) with a growing last-mile delivery segment. It is expanding cross-border capacity, having opened a Laredo terminal in September 2025.

WHAT THE NUMBERS SAY

Revenue of $1.39B rose 0.7% y/y; excluding fuel surcharge, revenue grew 1.4%. The composition was poor: yield (revenue per hundredweight ex-fuel) rose 5.1% but tonnage per day fell 4.3%, with every month negative and September weakest at -5.6%. Management walked away from roughly $40M of annualized revenue that failed margin thresholds amid aggressive competitor discounting, which it acknowledges worsened volumes. Last-mile was the sole growth engine at $204M, +19% y/y (decelerating from +24% last quarter), and turned profitable for the first time at a 0.4% operating margin. Free cash flow was $88M; net leverage 1.4x adjusted EBITDA; buybacks moderated to $20M.

YEAR-OVER-YEAR GROWTH

Revenue +0.7% (+1.4% ex-fuel); adjusted EPS (4.5)% to $1.71 from $1.79; operating ratio 140 bps worse at 89.8%; tonnage per day (4.3)%; yield ex-fuel +5.1%; last-mile revenue +19%; insurance and claims expense +12%; driver wage inflation ~6% per hour. Purchased transportation improved as last-mile volume shifted onto owned capacity.

MANAGEMENT GUIDANCE AND OUTLOOK

FY2025 revenue cut to $5.55-$5.65B from $5.75-$5.85B and adjusted EPS cut to $6.60-$6.85 from $7.10-$7.40. Q4 assumes tonnage down 4-6% with yield improvement of approximately 4.5%, as renewal increases moderate from earlier high-single-digit levels. FY2025 capex reduced to $360M from $410M on the San Antonio deferral and a smaller tractor buy. The previously discussed path to a mid-87s operating ratio in FY2026 was explicitly not reaffirmed; FY2026 guidance comes in January. San Antonio terminal opening deferred to fiscal 2026 ($9M of deferral costs hit GAAP EPS this quarter). Headcount down 3% since June via attrition; linehaul schedules cut on lowest-density lanes.

TOP RISKS

1. Volume deleverage on a largely fixed terminal network: tonnage -4.3% with October tracking in line with September’s -5.6%, and management explicitly not calling a bottom; Q4 guide embeds -4% to -6%.
2. Structural wage/yield gap: driver wages inflating ~6% while guided yield decelerates to ~4.5%, with density gains (the offset) eroded by falling volumes — the stated reason the FY2026 mid-87s OR target was pulled.
3. Competitive price discounting forcing a choice between share and margin; Northwind shed ~$40M of annualized revenue, and management hinted at selective flexibility on thresholds in low-density lanes. Insurance and claims expense also +12% y/y on industry accident severity.

TOP OPPORTUNITIES

1. Last-mile inflection: $204M revenue, +19%, first-ever profitable quarter at 0.4% margin, driven by durable insourcing off purchased transportation; management expects continued profitability.
2. Cost and capital discipline positioning for recovery: capex cut $50M, headcount -3% via attrition, low-density linehaul schedules reduced, net leverage only 1.4x, FCF $88M — operating leverage reverses when tonnage returns (management calls most OR deterioration cyclical).
3. Laredo cross-border terminal opened in September with volumes in line with plan; San Antonio deferred rather than cancelled, preserving network growth optionality into FY2026.

KEY EXECUTIVE QUOTES

> *“Our July guidance assumed tonnage flat to down 2%, and we delivered down 4.3%. The industrial destocking was deeper and broader than customers told us it would be, and we compounded it by declining unprofitable freight. I own that the guidance was too optimistic on volume.”*
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> DANA WHITFIELD, PRESIDENT & CEO · Q&A

“If yield settles in the mid-4s and wages stay near 6%, we need productivity and density gains to close that gap, and density is exactly what a volume decline takes away. That’s the honest picture, and it’s a large part of why we’re not reaffirming the fiscal 2026 target.”

MARCUS LEE, EVP & CFO · Q&A

“Our view is that freight priced below our cost of capital doesn’t become profitable because the network has spare capacity; it just makes the network busier while destroying value. So the principle holds.”

DANA WHITFIELD, PRESIDENT & CEO · Q&A